



NOKIA INDIA Nokia Worldwide

PRODUCT: Manufactures mobile handsets 5130, 2630, 2600, 1680 and 1209 with keypads in 22 foreign languages

EXPORTED TO: Fifty countries across South-East Asia Pacific, Middle East and Africa. (Australia, New Zealand)

EXPORTS: **100** million units (approx)

restructuring, Indian automobile component majors could benefit. "There will be a compelling need for the company and suppliers to cut costs," says Deep Kapuria, chairman of HighTech Gears, a supplier to GM. Vishnu Mathur, executive director of the Automotive Components Manufacturers Association (ACMA) of India, adds, "Not only can Indian suppliers provide low-cost solutions without compromising quality, but they are also comfortable with different country standards." This migration of business from the US and Europe to India, however, will not happen overnight. As Karl Slyn, president and managing director of GM India, says, "It is not easy to change suppliers. It involves not just cost but credibility and capability." Indian companies will

need to upgrade in real time.

Low investments in R&D is something that has long haunted Indian auto component suppliers. Says Slyn, "We would like to see aggressive improvements in development, else suppliers will be surpassed by other countries." Adds Sandip Sanyal, executive director operations, Ford India, "It took Japan 30 years to take vehicle manufacturing from basic to what you see today. But it may not take other countries that long owing to globalisation."

Indian companies, however, cannot expect this to happen automatically. They have to bring value to the global supply chain. It is not enough to be a low-cost supplier as this advantage will be bridged sooner than later by other players. Indian players also—

like the Japanese and the Koreans—look ahead to move into a higher orbit. As Kumar Kandaswami, senior director and country manufacturing leader at Deloitte, says, "If we don't want to be just subcontractors to the world we must build brands and own intellectual property. To be a manufacturing powerhouse, we need a paradigm shift. We need to look 20 years ahead."

"We have all the ingredients to become a manufacturing capital," says Amit Kalyani, executive director, Bharat Forge, "but we have to realise that others too are getting stronger." Already Mexico, Latin America, Russia and Vietnam are on manufacturers' radar, even as India's restrictive labour laws and poor infrastructure add to its disincentives. In the latest IFC-World Bank 'Doing Business' report, India's overall ranking has dropped six places to a dismal 122, among 181 countries, over the last year. Moreover, it has attracted only \$27 billion of foreign direct investment in the manufacturing sector in the last nine years compared to China, which attracted over \$40 billion in a single year, notes a FICCI study.

Ford's Sanyal sums up, "In the coming decade, more and more global companies will emerge and will develop capabilities across the world. And India will be a favourable destination." The direction is right. Now, for some momentum. ■



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VISHNU MATHUR, Executive Director, ACMA

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